Jefferies

USA | Internet

Meta Platforms

Equity Research
July 20, 2026

Vision Mini Dive: When AI Moves to the Face

Our team bought & tried on 3 different models of Meta's AI glasses & came away impressed. Camera quality, seamless setup, & a normal-glasses form factor stood out. While we see areas to improve, META has a first-mover advantage as the only player now shipping at scale. Assuming Apple-watch-like adoption at an average selling price (ASP) of $400, we size a $14B-$18B hardware rev opportunity within the next few yrs, & see a LT growth vector not yet priced in. Buy

What are Meta glasses? Meta's AI glasses are screen-light, voice-first wearables w/ an integrated camera & open-ear audio, all tied to the Meta AI app as the central console layer. They enable hands-free, voice-commanded AI assistance across daily tasks. We purchased 3 models: the Ray-Ban Meta Gen2 ($379), the Oakley Meta ($499), & the Ray-Ban Display w/ Neural Band ($799). We put them to work across sports, communication, & productivity, & came away pleasantly surprised by how naturally they integrate into daily routines.

Our view. Our base-case scenario analysis implies a ~$14B-$18B hardware rev opp (~35-45M units at Apple Watch-like adoption), w/ additional upside from higher-value AI subscriptions, advertising, & commerce monetization over time**.** We believe the NT impact centers on engagement & MAU expansion: Meta AI MAUs have reached ~1B, daily glasses users are tripling y/y, & 7M+ units sold in '25 w/ EssilorLuxottica reportedly doubling production capacity to 20M in '26. Longer term, the bigger prize is commerce: if agentic AI shifts from browsing to delegation, AI glasses could capture user intent at the point of discovery, moving Meta closer to the transaction.

Pros: 1) Camera quality is strong for a wearable, photos are easy to capture & sync seamlessly to your phone via the Meta AI app. **2) Open-ear audio is a standout**, preserving situational awareness while delivering music, calls, & notifications w/o earbuds. Spotify integration is near-instant. **3) The form factor blends in**: Oakley's sport-first design is comfortable during active use (skiing, golfing) & hard to realize they were AI-powered glasses. **4) Setup takes ~10 mins**, the charging case is grab-and-go, & media sync is intuitive. **5) For outdoor sports, the glasses effectively replace the need for a GoPro, earbuds, & phone camera in a single device**. The all-in-one utility is real, & critically, the product feels natural.

Cons: 1) Video quality still has room for improvement, & speaker volume doesn't get loud enough, w/ some distortion at higher levels. **2) The "Hey Meta" voice activation can be socially awkward in public** & voice recognition is inconsistent at times. **3) Battery life is decent but not yet great for all-day** heavy users. **4) Slight weight increase vs. normal sunglasses**, & a real learning curve to integrating the glasses into daily habits. **5) EU launch delayed by supply constraints & regulatory hurdles** around AI, always-on cameras, & privacy compliance. The product is still maturing for sustained, all-day mainstream use.

FY (Dec)	2024A	2025A	2026E	2027E
Rev. (MM)	164,500.0	200,965.0	252,509.0	300,384.0
Cons. Rev.	-	199,452.0	236,125.0	274,824.0
Cons. EPS-GAAP	-	23.09	29.59	33.25
EPS-GAAP	23.92	23.49	29.61	35.65

COMPANY UPDATE

RATING	BUY
PRICE	$646.01^
PRICE TARGET | % TO PT	$825.00 | +28%
52W HIGH-LOW	$796.25 - $520.26
FLOAT (%) | ADV MM (USD)	85.4% | 13,023.89
MARKET CAP	$1.7T
TICKER	META

^Prior trading day's closing price unless otherwise noted.

FY (Dec)	CHANGE TO JEFe		JEF vs CONS	
	2026	2027	2026	2027
REV	NA	NA	+7%	+9%
EPS	NA	NA	NA	NA

Chart 1 - Hypothetical Illustration: AI Glasses Could Be the Next Interface For Agentic Commerce

Source: Jefferies

Exhibit 1 - META AI Glasses Are a Multi-Billion-Dollar Opportunity

Units (M) \ ASP ($)	$300	$350	$400	$450	$500	$550	$600	$650
20M	$6.0	$7.0	$8.0	$9.0	$10.0	$11.0	$12.0	$13.0
25M	$7.5	$8.8	$10.0	$11.3	$12.5	$13.8	$15.0	$16.3
35M	$10.5	$12.3	$14.0	$15.8	$17.5	$19.3	$21.0	$22.8
45M	$13.5	$15.8	$18.0	$20.3	$22.5	$24.8	$27.0	$29.3
55M	$16.5	$19.3	$22.0	$24.8	$27.5	$30.3	$33.0	$35.8
65M	$19.5	$22.8	$26.0	$29.3	$32.5	$35.8	$39.0	$42.3
75M	$22.5	$26.3	$30.0	$33.8	$37.5	$41.3	$45.0	$48.8
85M	$25.5	$29.8	$34.0	$38.3	$42.5	$46.8	$51.0	$55.3

Source: Jefferies
ASP= Average selling price

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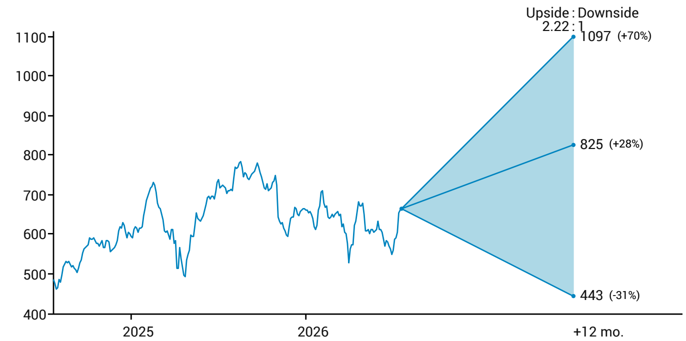
The Long View: Meta Platforms

Investment Thesis

- META connects 3.5B+ people around the world to 10MM+ advertisers with best-in-class data and targeting capabilities delivering high-quality and relevant advertising to a loyal user base.
- META will continue to innovate on the advertising front, driving higher monetization across its various platforms.
- High-ROI eCommerce advertising products on Facebook and Instagram increase ad spend across the platform.
- New AI products could drive improved performance for advertisers.

Risk/Reward - 12 Month View



Base Case, $825, +28%

- New ad dollars are pouring into mobile ad campaigns, and META is the primary beneficiary of that trend
- Deep engagement at Instagram, Messenger, and WhatsApp suggests robust growth going forward as monetization ramps
- Facebook Reality Labs investments will be heavy and should weigh on near-term profit margins
- 2027E EPS: $35.65; Target Multiple: ~23x; PT $825

Upside Scenario, $1097, +70%

- Leadership in virtual reality and the Metaverse position META well for the next decade of growth
- Messenger, and WhatsApp monetization occurs faster than expected
- Instagram's new features (ex: IG Reels) make the service stickier and drive new ad units and additional ad budgets
- Deepening ties to eCommerce and bottom-funnel ads
- 2027E EPS: $42.18; Target Multiple: ~26x; PT $1,097

Downside Scenario, $443, -31%

- Expenses ramp faster than expected due to AI Metaverse investments
- Ad-targeting headwinds due to regulation (i.e. GDPR, CCPA) and platform changes (Google Chrome, iOS)
- Users churn off to other social services
- 2027E EPS: $26.84; Target Multiple: ~17x; PT $443

Sustainability Matters

Top Material Issue(s): 1) Customer Privacy: Risk management for personal information they are in possession of. This is a top issue for social media companies like META, which collect and rely on user data to provide targeted advertisements. **2) Data Security:** Risks associated with collection, use, retention, and disposal of confidential information. Internet companies like META have amassed large amounts of user data which could be used in harmful ways if exposed.

Company Target(s): 1) Net-zero emissions across value chain and becoming water positive by 2030. **2)** 50% reduction in carbon impact of workplace operations by '30 on a per-headcount basis from a 2019 base year. **3)** Increasing the representation of all people of color in leadership positions in the US by 30% by '25.

Qs to Mgmt: 1) What is META doing to ensure it meets its 2030 goal of net-zero emissions while pursuing its AI initiatives? **2)** What types of user data does META collect and use to provide targeted advertisements? **3)** What processes does META have to protect its users' data?

Link to Sector Note: ESG Sector Deep Dive: Internet Media & Services

Catalysts

- High-ROI eCommerce ad products scale across the platform
- WhatsApp/Messenger monetization
- Reels becomes a more material revenue driver
- Announcement around Metaverse investments

Jefferies

Internet / AI

META Vision Mini Dive: When AI Moves to the Face

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JULY 2026

Meta AI Glasses Signal a New Consumer AI Surface

1

Meta AI glasses are emerging as the first scaled, screen-light AI interface

- Screen-light, voice-first AI glasses with camera and audio tied with Meta AI as the central console layer
- Early use cases based on our experiences have proven to be frictionless

2

Pros: High-quality camera and audio enable daily use with low social friction

- All-in-one, low-friction utility combines camera, open-ear audio, and voice into a single wearable
- Comfortable, socially acceptable design enables repeat use, especially in active, hands-busy moments
- Fast setup and seamless phone sync reduce time-to-value, increasing the likelihood of repeat use early in the adoption curve

3

Areas of improvement: Still maturing for all-day use

- Video, speakers, and battery life remain good-enough but not yet all-day, which can limit extended use cases
- Voice activation and learning curve introduce some friction, and may slow the transition from novelty to habit for some users
- Potential privacy and regulatory overhang in international markets

4

Our view: Pleasantly surprised, Meta AI glasses represent a long-dated growth vector not yet priced in

- We believe Meta has the first-mover advantage as the only player shipping AI glasses at scale today vs. peer products still underway
- NT impact remains in engagement and MAU, but we see multiple monetization pathways across hardware, services, & commerce in LT
- Our base case scenario implies that AI glasses could be worth ~$14-18B in revenue opportunity, assuming Apple-watch-like adoption

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SECTION I

What Are Meta's AI Glasses

Zuck Believes AI Glasses Are the Next Cognitive Advantage

"

I mean I personally think that just like I wear contact lenses, I feel like if I didn't have my vision corrected, I'd be sort of at a cognitive disadvantage going through the world**. And I think in the future, if you don't have glasses that have AI or some way** to interact with AI, I think you're kind of similar probably be **at a pretty significant cognitive disadvantage** compared to other people who you're working with or competing against.

Mark Zuckerberg, 2Q25 Earnings Call

Source: Jefferies, Earnings Call

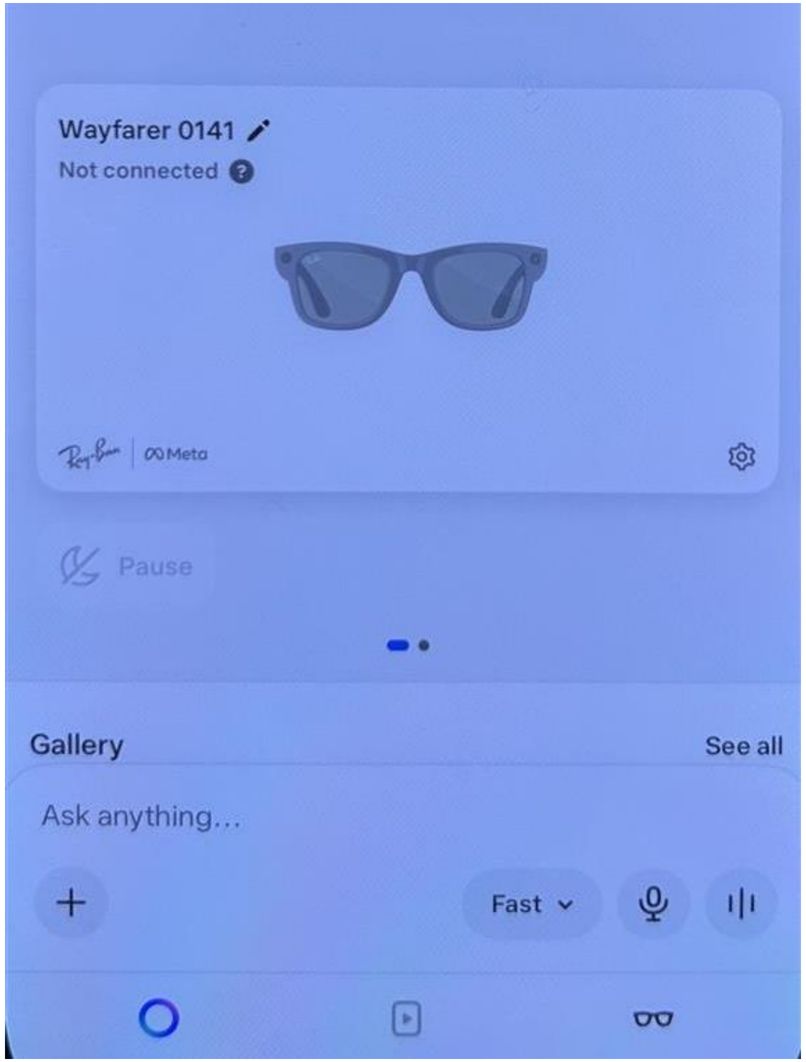
Meta Is Expanding Its AI Glasses Lineup Across Brands and Price Tiers

The new Meta-branded models open the category at a lower price point, widening access and driving higher unit growth.

Model	Brand	Segment	Status	Starting Price (USD)
Adventurer	Meta	Entry-level AI	**New – Jun 2026**	**$299**
Fury	Meta	Entry-level AI	**New – Jun 2026**	**$299**
Starfire	Meta	Fashion (Kylie Jenner)	**New – Jun 2026**	**$399**
Ray-Ban Meta (Gen 2)	Ray-Ban	Core AI flagship	Available	**$379**
Oakley Meta HSTN	Oakley	Sport / performance	Available	**$399**
Oakley Meta Vanguard	Oakley	Sport / performance	Available	**$499**
Ray-Ban Meta Neural Display	Ray-Ban	Premium, in-lens display	Available	**$799**

Source: Jefferies, Press Release

With the Meta AI App Unifying Device Control Across a Growing AI Ecosystem



- **Device set up + pairing hub.** The app is the primary way to pair and manage Meta glasses, including onboarding and device management
- **Media sync & app integration.** Imports and offloads photos & videos captured on the glasses to the phone, and supports sharing workflows. Can be connected to various other apps (e.g. Spotify)
- **Conversation continuity.** Keeps track of all started convos, including those started with the glasses, from the app's history area

Meta AI app is the single hub for 1) glasses device management + media pipeline and 2) Meta AI assistant experiences (history/discover/creation), tightening ecosystem lock-in

Source: Jefferies

Meta Is Currently Leading the Pack in the AI/Smart Glasses Market

Meta's AI/Smart Glasses Competitors

Snapchat

- **Product name:** SPECS AR Glasses
- **Use cases:** AR experiences, spatial utility, and AI Assistance
- **Features:**
    - More compute-heavy
    - Weigh more than Meta's glasses
- **Pricing: $2,195 (**expected to ship in fall)

Google

- **Product name:** Android XR Intelligent Eyewear
- **Use cases:** Navigation/translation; real-time/world context powered by Gemini AI assistant
- **Features (two types):**
    - #1 Audio only
    - #2 Display-equipped glasses planned after audio-only version
- **Pricing:** TBD (expected Fall 2026 launch)
- **Partnerships:** Warby Parker and Gentle Monster

Apple

- **Product name:** N50 (codename)
- **Use cases:** everyday activities
- **Features:**
    - Expected Siri-powered voice interactions
    - Visual intelligence
- **Pricing:** TBD ('27 expected launch)

Source: Jefferies, Press Release, SNAP, AAPL & GOOGL public disclosures

We See A Multi-Billion Dollar Hardware Revenue Opportunity…

META AI Glasses Revenue Opportunity Scenario Analysis (in $B)

Units (M) \ ASP ($)	$300	$350	$400	$450	$500	$550	$600	$650
20M	$6.0	$7.0	$8.0	$9.0	$10.0	$11.0	$12.0	$13.0
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Bear Case

- **Not a must-have / proper form factor.** AI glasses don't break out of niche; utility doesn't justify the friction so adoption stays limited.
- **Economics pressured by competition.** Apple and others enter aggressively, forcing subsidies and compressing hardware ASPs and margins.
- **Sub-Apple-Watch trajectory.** Annual units settle below the Apple Watch curve; revenue contribution stays modest.

Base Case

- **Adoption in line with Apple Watch.** Glasses become a useful companion device, running ~35-45M units per year or ~$14B to $18B+ in hardware rev opportunity.
- **Real but bounded franchise.** Hardware revenue scales steadily; Meta builds a durable wearable business without redefining the category.
- **Apple Watch as the comp.** Units, ASP, and attach rate track the watch playbook rather than the smartphone one.

Bull Case

- **More persuasive than Apple Watch.** Form factor and AI use cases drive faster, deeper consumer pull than the wrist wearable did.
- **~30% penetration of the iPhone install base.** Implies ~75M units annually, a step-change above Apple Watch run-rate.
- **Platform ownership, not just hardware.** Glasses become Meta's AI engagement layer and a strategic successor to the smartphone interface.

Source: Jefferies, Business of Apps

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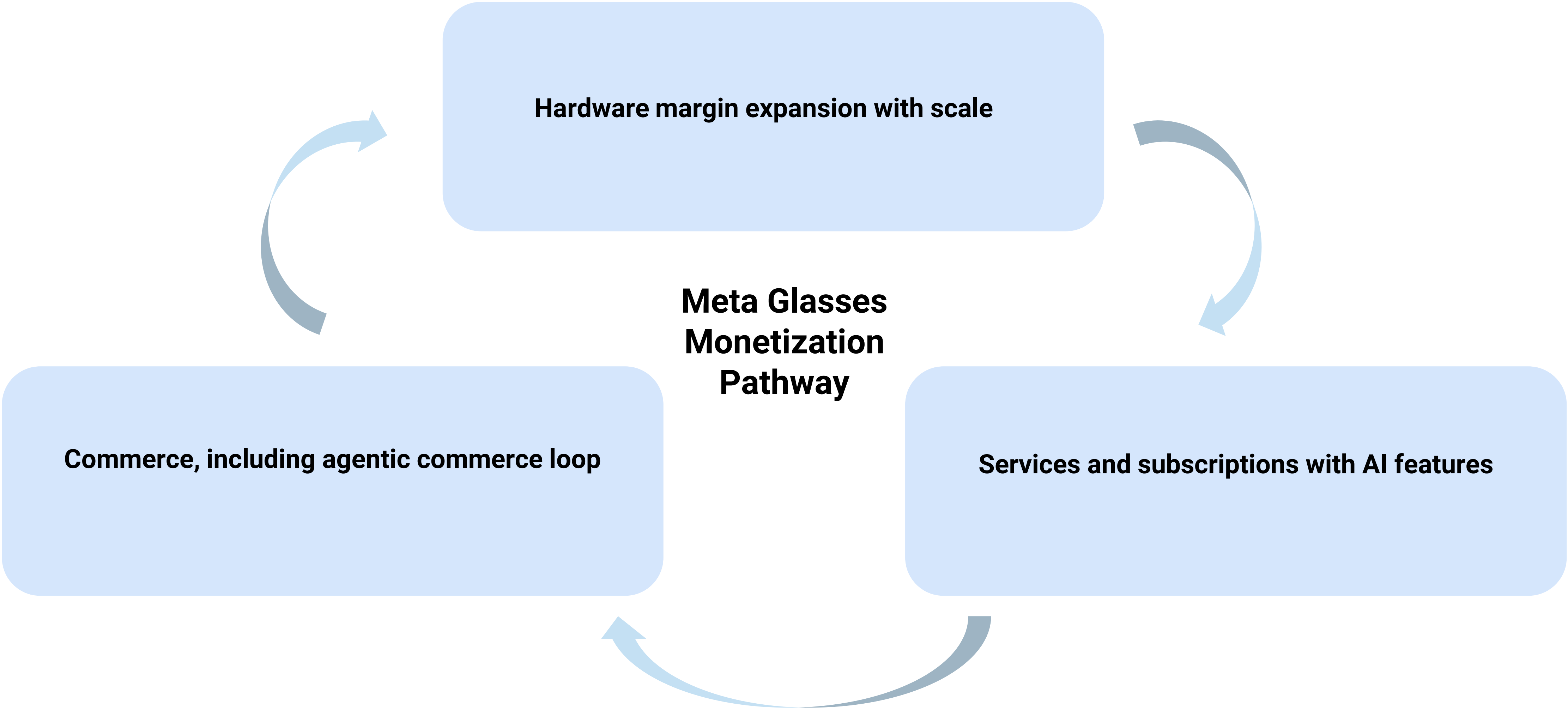
… With Additional Long-Term Upside From Premium Subscriptions, Advertising, & Commerce



Source: Jefferies

SECTION II

What We Learned From 5 Months of Usage

Use Case #1: Sports (Oakley)

With Oakley's sport-first design, the product is already demonstrating potential as an all-in-one replacement

In-Action

- **Skiing**
    - Hands-free photos/video
    - Apps integration - Spotify playback
    - Ambient awareness without earbuds, and voice control even with gloves, enabling users to ditch the GoPro, and earbuds.

Why it's a hero

- **Job-to-be-done**: capture + listen + call without pulling phone
- **Feature proof:** camera + open-ear audio + voice controls + easy sync
- **Why sticky**: convenience + unique angle + "doesn't look techy" (blends in)

Source: Jefferies

Use Case #2: Communication

Seamless, hands-free communication in real time that feels natural

In-Action

- **Voice-activated messaging and calls via Meta AI**
  - Users can place calls and send/respond messages/calls using voice, keeping hands and eyes free
  - Incoming calls and notifications are read aloud
  - Audio-first design can assist users who prefer, or rely on, voice interaction over visual interfaces
  - Useful for multitasking, when phone access is limited

Why it's a hero

- **Turns AI glasses into a daily communication surface**
  - Voice-only interaction enables faster, simpler communication in the moment
- **Broadens the addressable user base**
  - Voice-first design benefits users in hands-busy scenarios and those who prefer audio interaction

Source: Jefferies

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Use Case #3: Productivity (Emerging)

Glasses enable AI grounded in physical context

In-Action

- Identifying an object, location, or sign and getting instant context
- Real-time translation or explanation of what the user is seeing
- Step-by-step guidance while hands are occupied (navigation, setup, instructions)
- Lightweight "what should I do next?" prompts in motion (travel, errands, on-site tasks)

Why it's a hero

- Introduces a new AI interaction surface beyond chat and feeds
- Lays groundwork for agentic behavior (e.g. observe an object, decide on action items, assist in execution through voice command)
- Increases daily touchpoints with Meta AI without requiring deliberate engagement

Source: Jefferies

Pros: High Quality Camera & Audio for Daily Use With Low Social Friction Supports Future Adoption Growth

1. Camera Quality	• **Photos are good quality** and easy to capture
2. Audio	• Open-ear listening preserves situational awareness, so **you can enjoy music while still engaging with people** • All-in-one utility: music + camera/video in one device reduces the need for separate earbuds + phone use
3. Ergonomic / Comfort	• Oakley form factor is "good" and not awkward/heavy, even during active use • **Looks like normal sunglasses (low social friction);** Perceived build/optical quality is strong, "better than some competing glasses," and would buy them as normal outdoor sunglasses
4. Onboarding / Setup	• **Setup is quick (10 minutes)** and straightforward • Charging case is easy, making the product more "grab-and-go" • Photo/video sync to phone is very seamless and intuitive

Source: Jefferies

Cons: Performance Gaps With Video, Speakers, & Battery Life

1. Video Quality	• Video still has room for improvement
2. Meta Callouts	• "Hey Meta" callouts can be socially awkward in public
3. Speaker Volume	• Speakers don't get loud enough (don't go to 11) • Some **distortion at higher volumes**
4. Weight Increase	• Slight weight increase vs normal sunglasses (even if not super noticeable) may matter for some all-day wearers
5. Battery Life	• Decent, but not amazing; **not yet a "day-long no-worries" story for heavy usage**
6. Learning Curve	• There is a learning curve to get comfortable and integrate into daily habits • Voice recognition/activation is inconsistent at times

Source: Jefferies

Ray-Ban Display + Neural Band: Early But Promising

Product remains early and somewhat finicky, but the long-term potential for AI-native wearables as a cognitive interface is clear

Signs of Promise

1. Cognitive Advantage	• Certain prompts showed glimpses of real **"cognitive advantage"** as AI models and hardware improve • Over the next **3–5 years**, continued improvements could shift the product from novelty to daily workflow tool
2. Enterprise Use Cases	• Promising applications: **learning at work, real-time prompting, teleprompter, meeting assistance, contextual search** • Ability to **capture and harness human-to-human context** over time
3. User Reception	• **More positive than prior VR demos;** Meta may be moving closer to a mainstream-resonant form factor • Consensus: **impressive and fun**, but not yet useful enough for daily reliance across age groups

Current Limitations

1. Hardware / Comfort	• Glasses felt **more flimsy and less comfortable** than other pairs tested • Neural Band **not always seamless;** band + glasses pairing still somewhat finicky
2. Display / Battery	• AR display useful at times but **can become distracting;** needs context-aware activation (appear only when needed) • **Battery life ~5/10;** remains a key limitation for extended daily use
3. Cost / Adoption	• **Cost difficult to justify** in current form; meaningful learning curve for most users • Some use cases may require **broader societal acceptance** around always-on cameras and AI in live interactions

Our view: *Not yet a necessity, but a tangible glimpse into how AI-native wearables could evolve. The direction of travel is compelling, if Meta continues improving hardware and pairs it with stronger AI models, glasses could become a meaningful cognitive interface over time.*

Source: Jefferies

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SECTION III

Implications for META

Early Commentary Suggests Rising Momentum

2Q24: "Demand is **still outpacing our ability to build them**, but I'm hopeful that we'll be able to meet that demand soon"

3Q24: "Demand for the glasses continues to be very strong. The new **Clear edition that we released at Connect sold out almost immediately and has been trading online for over $1,000"**

1Q25: **"Ray-Ban Meta AI glasses have tripled in sales in the last year.** The people who have them are using them a lot"

2Q25: **"Ray-Ban Meta glasses are seeing accelerating sales**, with upcoming Oakley Meta HSTNs adding longer battery life and improved cameras, while **Meta AI usage and retention continue to rise"**

3Q25: "Meta's 2025 AI glasses lineup has seen strong early demand, with **Ray-Ban and Oakley models selling well** on improved battery, cameras, and AI features, while **the new display glasses sold out within 48 hours"**

4Q25: "Sales of our glasses more than **tripled last year**, and we think that they're some of **the fastest-growing consumer electronics in history"**

1Q26: "Our AI glasses continue to perform well with **the number of people using them daily tripling year-over-year.** This continues to be one of the fastest-growing categories of consumer electronics ever"

Source: Company disclosure from earnings call

7M+ Units Sold and Rising Rx Adoption

"Just to give you an idea, and I think this is an interesting data point, if we just look at the Ray-Ban Meta, which is obviously the most important product that we have, **when we look at the revenue of the Ray-Ban Meta, the penetration of Rx is in excess of 30% already.**

CEO of EssilorLuxottica 1Q26

"**In 2025, we sold more than 7 million units of AI-glasses,** posting exponential growth, **driven by the strength of our iconic brands, Ray-Ban** and Oakley, across all geographies and channels

CEO of EssilorLuxottica 4Q25

Source: Company Earnings Call

Partner Echoes the Demand Signal, Considering Doubling Capacity to Meet It

Bloomberg Jan '26

"**Meta and EssilorLuxottica are considering doubling the production capacity of their artificial intelligence-powered smart glasses to 20 million units annually by the end of this year**"

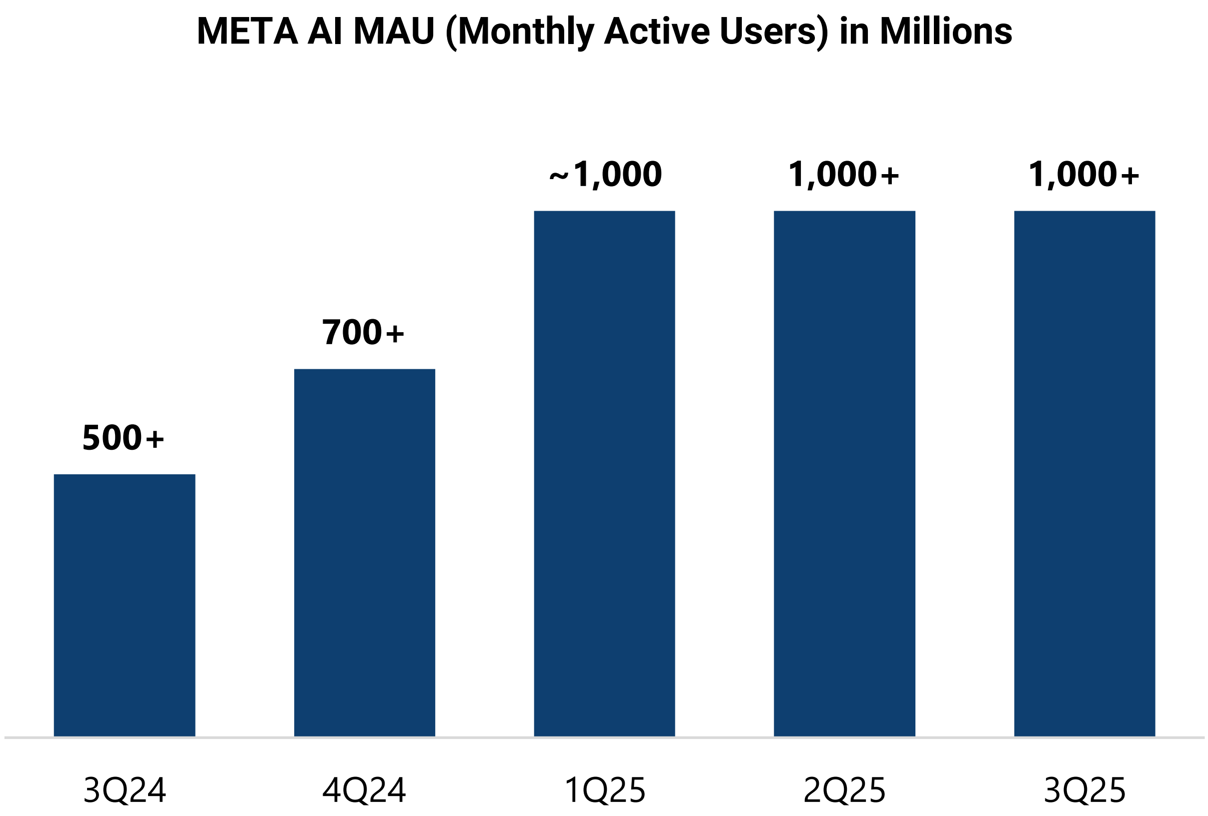
"Relationship between EssilorLuxottica and Meta…I can't get into the detail of that exclusivity, **but it's a very successful collaboration between two companies**

The other thing that you have to bear in mind with respect to our own retail is that, typically, the space that it's made available **in our own stores for 3P brands, it's anywhere between 5% to 10%. So, remember, if there is something entering into that space, there is something else that is going to go out**

CFO of EssilorLuxottica 1Q26

Source: Company Earnings Call, Bloomberg

We Believe AI Glasses Introduce a Potential New MAU Growth Vector



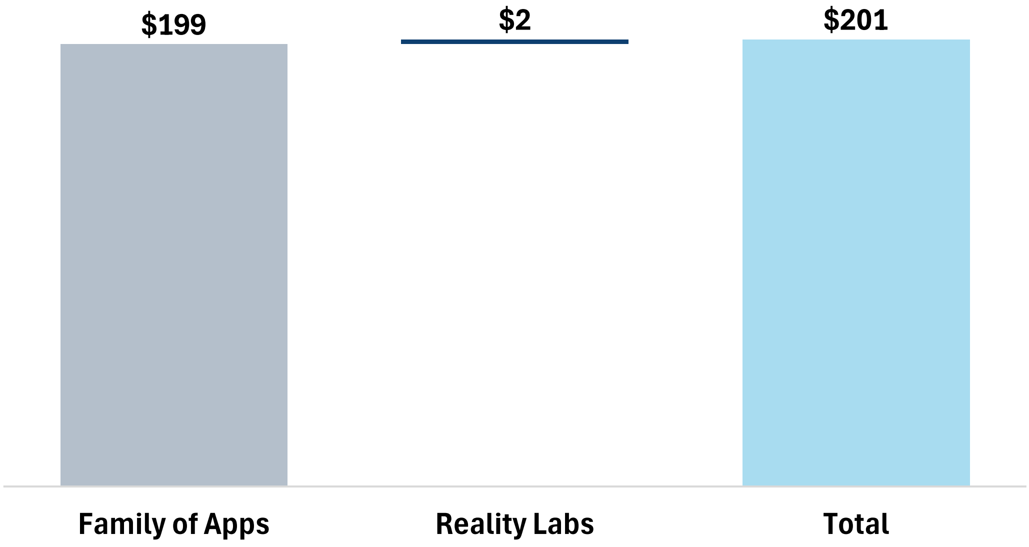
Source: Jefferies, Company Disclosures

AI Glasses Reframe the Reality Labs Narrative

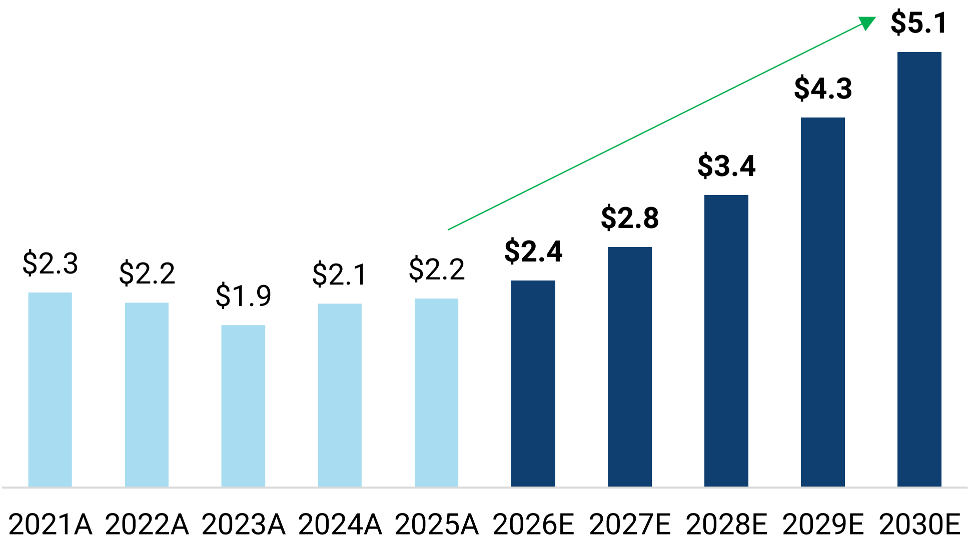
While Reality Labs revenue remains metaverse-led today, AI glasses introduce a new, more scalable distribution vector. Glasses shift Reality Labs from a hardware-heavy immersion bet toward daily-use AI engagement bet

> “I expect Reality Labs losses this year to be similar to last year, and **this will likely be the peak as we start to gradually reduce our losses going forward** while continuing to execute on our vision **- Mark Zuckerberg, 4Q25 Earnings Call**

META CY25 Revenue ($B)



Reality Labs Total FY Revenue ($B)



Source: Jefferies, Company Data, Visible Alpha

Meta One Launch Signals the Subscription Lever Is Now Live

Meta is quietly rolling out Meta One, its first consumer subscription across apps and glasses, marking a meaningful step toward turning the services monetization opportunity from thesis to reality

What Launched

- Meta One / Meta One Premium now gradually rolling out across Instagram, Facebook, and WhatsApp
- Premium plan unlocks expanded AI access, Conversation Focus, and premium device support on AI glasses

Why It Matters

- First tangible evidence that Meta is beginning to monetize consumer AI services through subscriptions
- Recurring revenue layered on top of hardware has the potential to improve LTV and deepen ecosystem lock-in
- Ties premium AI features to daily glasses usage, reinforcing engagement and retention

What We're Watching

- Pricing, tiering, and attach rate as rollout broadens beyond early markets
- Whether premium AI features drive measurable MAU and retention uplift
- Read-through to ARPU as subscription scales across the installed base

Source: Jefferies, Image by Copilot, Press release

AI Glasses Could Be the Next Interface That Powers Agentic Commerce

If agentic commerce shifts from browsing to delegation, AI glasses could move Meta closer to the point of transaction, not just influence. While early, we view Meta AI glasses to be an additional beneficiary with the rise of agentic commerce.

Hypothetical Illustration

- **Always-on, real-world context.** Glasses capture visual, spatial, and situational signals, critical inputs for agents to act, not just respond
- **Clear user intent.** Person physically looking at the product
- **Natural voice interaction.** "Hey Meta…" anchored to glasses use and delegates the task, search, compare, buy, without breaking flow; seamless action layer
- **Agentic action shown.** Product ID > availability > order placed
- **End-state**. transaction completed, not just discovery

What We See: The Path to an Always-On AI Companion

Meta AI glasses represent the next interface shift—embedding AI seamlessly into daily life through context, vision, and voice.

Health & Coaching	• **Real-time guidance during workouts**, mental coaching, and relaxation tailored to the moment
Lifestyle & Learning	• **Interactive cooking, on-the-fly instruction**, and ambient assistance without screens
Productivity	• **Hands-free task management** and digital assistance while multitasking
Commerce	• **See-to-buy experiences:** identify products in the real world and instantly purchase via AI
Always-Available Assistant	• **"Hey Meta"** becomes a continuous companion, not a discrete app interaction

Source: Jefferies

Smart Glasses Remain a Global Platform Opportunity

Bloomberg

“ Meta Platforms delays EU launch of new display-equipped Ray-Ban smart glasses
A person with knowledge of the situation says that Meta has been unable to secure enough supply, while it is also being hampered by regulations governing AI features and batteries ”

- **EU launch delayed by supply & regulation, not product readiness.** Constraints tied to display components, batteries and AI feature approvals. Scrutiny centers around multimodal AI, always-on cameras, and privacy compliance
- **U.S. would remain the NT priority.** Meta focused on scaling usage, improving AI features, and driving ecosystem pull before broader global rollout
- **International opportunity pushed right, not removed.** We view EU as a LT catalyst once supply normalizes and regulatory clarity improves

Source: Bloomberg

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SECTION IV

Financials

META Income Statement

Meta - Income Statement

($ in Millions)

	F2025				F2026				F2027						
	Q1 25A	Q2 25A	Q3 25A	Q4 25A	Q1 26A	Q2 26E	Q3 26E	Q4 26E	Q1 27E	Q2 27E	Q3 27E	Q4 27E	F2025A	F2026E	F2027E
GAAP Revenue	$42,314	$47,516	$51,242	$59,893	$56,311	$60,504	$63,369	$72,325	$65,557	$72,213	$75,628	$86,986	$200,965	$252,509	$300,384
% Y/Y Growth	*16%*	*22%*	*26%*	*24%*	*33%*	*27%*	*24%*	*21%*	*16%*	*19%*	*19%*	*20%*	*22%*	*25.6%*	*19%*
% Q/Q Growth	*(13%)*	*12%*	*8%*	*17%*	*(6%)*	*7%*	*5%*	*14%*	*(9%)*	*10%*	*5%*	*15%*	--	--	--
Cost of Revenue	7,572	8,491	9,206	10,905	10,218	11,193	11,850	13,742	12,784	14,082	14,936	17,180	36,174	47,003	58,981
GAAP Gross Profit	$34,742	$39,025	$42,036	$48,988	$46,093	$49,311	$51,519	$58,583	$52,774	$58,132	$60,691	$69,806	$164,791	$205,506	$241,403
% Margin	*82.1%*	*82.1%*	*82.0%*	*81.8%*	*81.9%*	*81.5%*	*81.3%*	*81.0%*	*80.5%*	*80.5%*	*80.3%*	*80.3%*	*82.0%*	*81.4%*	*80.4%*
Marketing and Sales	2,757	2,979	2,845	3,410	2,908	3,793	3,518	4,118	3,385	4,527	4,199	4,953	11,991	14,337	17,064
Research and Development	12,150	12,942	15,144	17,136	17,699	20,571	21,545	24,591	20,978	23,108	24,201	27,836	57,372	84,406	96,123
General and Administrative	2,280	2,663	3,512	3,697	2,614	5,294	5,545	6,328	4,589	5,055	5,143	6,089	12,152	19,781	20,876
Total Stock-Based Compensation	4,147	4,834	4,505	5,890	6,032	5,801	5,406	7,068	7,238	6,961	6,487	8,482	19,376	24,307	29,168
Income from Operations (GAAP)	$17,555	$20,441	$20,535	$24,745	$22,872	$19,652	$20,910	$23,547	$23,821	$25,441	$27,149	$30,929	$83,276	$86,981	$107,340
Income From Operations (ex-Onecharges)	$17,555	$20,441	$20,535	$24,745	$22,872	$19,652	$20,910	$23,547	$23,821	$25,441	$27,149	$30,929	$83,276	$86,981	$107,340
%Y/Y Expense Growth	*9%*	*12%*	*32%*	*40%*	*35%*	*51%*	*38%*	*39%*	*25%*	*14%*	*14%*	*15%*	*24%*	*41%*	*17%*
% Margin	*41%*	*43%*	*40%*	*41%*	*41%*	*32%*	*33%*	*33%*	*36%*	*35%*	*36%*	*36%*	*41%*	*34%*	*36%*
% Y/Y Growth	*27%*	*38%*	*18%*	*6%*	*30%*	*(4%)*	*2%*	*(5%)*	*4%*	*29%*	*30%*	*31%*	*20%*	*4%*	*23%*
% Q/Q Growth	*(25%)*	*16%*	*0%*	*21%*	*(8%)*	*(14%)*	*6%*	*13%*	*1%*	*7%*	*7%*	*14%*	--	--	--
Net Interest (Income) and Other (Income)	(827)	(93)	(1,128)	(609)	1,120	(98)	(1,184)	(639)	1,176	(103)	(1,244)	(671)	(2,657)	(802)	(842)
Income Before Taxes (GAAP)	$18,382	$20,534	$21,663	$25,354	$21,752	$19,750	$22,095	$24,186	$22,645	$25,544	$28,392	$31,601	$85,933	$87,782	$108,181
% Effective Tax Rate	*9%*	*11%*	*87%*	*10%*	*(23%)*	*25%*	*25%*	*25%*	*15%*	*15%*	*15%*	*15%*	*30%*	*13%*	*15%*
Provision / (Benefit) for Income Taxes	1,738	2,197	18,954	2,586	(5,021)	4,937	5,524	6,047	3,397	3,832	4,259	4,740	25,475	11,487	16,227
GAAP Net Income / (Loss)	$16,644	$18,337	$2,709	$22,768	$26,773	$14,812	$16,571	$18,140	$19,248	$21,712	$24,133	$26,861	$60,458	$76,296	$91,954
% Margin	*39%*	*39%*	*5%*	*38%*	*48%*	*24%*	*26%*	*25%*	*29%*	*30%*	*32%*	*31%*	*30%*	*30%*	*31%*
% Y/Y Growth	*35%*	*36%*	*(83%)*	*9%*	*61%*	*(19%)*	*512%*	*(20%)*	*(28%)*	*47%*	*46%*	*48%*	*(3%)*	*26%*	*21%*
% Q/Q Growth	*(20%)*	*10%*	*(85%)*	*740%*	*18%*	*(45%)*	*12%*	*9%*	*6%*	*13%*	*11%*	*11%*	--	--	--
Weighted Avg. Diluted Shares Outstanding	2,590	2,570	2,572	2,565	2,564	2,573	2,575	2,568	2,567	2,575	2,577	2,570	2,574	2,577	2,579
GAAP EPS	$6.43	$7.14	$1.05	$8.88	$10.44	$5.76	$6.44	$7.06	$7.50	$8.43	$9.36	$10.45	$23.49	$29.61	$35.65
% Y/Y Growth	*36%*	*38%*	*(83%)*	*11%*	*62%*	*(19%)*	*511%*	*(20%)*	*(28%)*	*46%*	*45%*	*48%*	*(2%)*	*26%*	*20%*
% Q/Q Growth	*(20)*	*11*	*(85)*	*743*	*18*	*(45)*	*12*	*10*	*6*	*12*	*11*	*12*	--	--	--

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Source: Jefferies, Company Data

META Balance Sheet

Meta - Balance Sheet

($ in Millions)

	F2025				F2026				F2027						
	Q1 25A	Q2 25A	Q3 25A	Q4 25A	Q1 26A	Q2 26E	Q3 26E	Q4 26E	Q1 27E	Q2 27E	Q3 27E	Q4 27E	F2025A	F2026E	F2027E
Cash & Cash Equivalents	$28,750	$12,005	$10,187	$35,873	$23,426	$49,445	$40,785	$34,000	$36,779	$35,302	$32,904	$32,484	35,873	$34,000	$32,484
Marketable Securities	41,480	35,066	34,261	45,719	57,754	57,754	57,754	57,754	57,754	57,754	57,754	57,754	45,719	$57,754	$57,754
Accounts Receivable	14,514	16,561	17,297	19,769	17,470	18,566	19,445	22,193	19,398	21,367	22,377	25,738	19,769	$22,193	$25,738
Deferred Income Taxes	0	0	0	0	0	0	0	0	0	0	0	0	0	$0	$0
Prepaid Expenses and Other Current Assets	5,483	9,981	11,373	7,361	11,115	6,742	6,958	7,708	5,791	6,538	6,708	7,775	7,361	$7,708	$7,775
Current Assets	**$90,227**	**$73,613**	**$73,118**	**$108,722**	**$109,765**	**$132,507**	**$124,942**	**$121,655**	**$119,722**	**$120,961**	**$119,744**	**$123,752**	**$108,722**	**$121,655**	**$123,752**
Property and Equipment	133,567	147,039	160,270	176,400	194,776	222,641	251,475	284,765	305,923	335,795	366,980	403,517	176,400	$284,765	$403,517
Long-Term Investments	6,168	21,988	25,074	27,524	28,410	28,410	28,410	28,410	28,410	28,410	28,410	28,410	27,524	$28,410	$28,410
Intangible Assets (incl. Goodwill)	20,654	20,654	21,158	24,534	24,748	24,748	24,748	24,748	24,748	24,748	24,748	24,748	24,534	$24,748	$24,748
Other Long-Term Assets	29,597	31,450	24,224	28,841	37,551	31,685	32,699	36,438	28,953	32,691	33,542	38,877	28,841	$36,438	$38,877
Total Assets	**$280,213**	**$294,744**	**$303,844**	**$366,021**	**$395,250**	**$439,991**	**$462,274**	**$496,016**	**$507,755**	**$542,605**	**$573,425**	**$619,304**	**$366,021**	**$496,016**	**$619,304**
Accounts Payable	$8,512	$10,271	$7,798	$8,894	$13,326	$13,125	$13,895	$16,114	$15,410	$16,975	$18,006	$20,710	8,894	$16,114	$20,710
Platform Partners Payable	0	0	0	0	0	0	0	0	0	0	0	0	0	$0	$0
Accrued Expenses & Other Current Liabilities	25,378	27,034	29,160	32,942	33,427	41,262	42,583	49,052	40,280	45,480	46,665	54,428	32,942	$49,052	$54,428
Deferred Revenue & Deposits	0	0	0	0	0	0	0	0	0	0	0	0	0	$0	$0
Current Portion of Capital Lease Obligations	0	0	0	0	0	0	0	0	0	0	0	0	0	$0	$0
Current Portion of Long-Term Debt	0	0	0	0	0	0	`	0	0	0	0	0	0	$0	$0
Total Current Liabilities	**$33,890**	**$37,305**	**$36,958**	**$41,836**	**$46,753**	**$54,387**	**$56,479**	**$65,165**	**$55,690**	**$62,455**	**$64,671**	**$75,138**	**$41,836**	**$65,165**	**$75,138**
Long-Term Debt	28,829	28,832	28,834	58,744	58,748	82,840	81,890	80,805	79,822	78,738	77,604	76,299	58,744	$80,805	$76,299
Operating Lease Liabilities	18,714	18,751	20,113	22,940	25,607	25,607	25,607	25,607	25,607	25,607	25,607	25,607	22,940	$25,607	$25,607
Other Long-Term Liabilities	13,751	14,786	23,873	25,258	20,461	14,148	14,601	16,818	13,812	15,595	16,001	18,661	25,258	$16,818	$18,661
Total Liabilities	**$95,184**	**$99,674**	**$109,778**	**$148,778**	**$151,569**	**$176,983**	**$178,577**	**$188,395**	**$174,931**	**$182,395**	**$183,883**	**$195,705**	**$148,778**	**$188,395**	**$195,705**
Common Stock and Additional Paid-In Capital	85,568	88,496	92,330	95,793	99,337	114,149	130,720	148,860	168,108	189,820	213,953	240,814	95,793	148,860	240,814
Retained Earnings (Accumulated Deficit)	101,326	106,345	101,577	121,179	144,647	149,162	153,280	159,064	165,020	170,693	175,892	183,088	121,179	159,064	183,088
Accumulated Other Comprehensive Loss	(1,865)	229	159	271	(303)	(303)	(303)	(303)	(303)	(303)	(303)	(303)	271	(303)	(303)
Shareholders' Equity	**$185,029**	**$195,070**	**$194,066**	**$217,243**	**$243,681**	**$263,008**	**$283,698**	**$307,621**	**$332,824**	**$360,210**	**$389,542**	**$423,599**	**$217,243**	**$307,621**	**$423,599**
Liabilities & Shareholders' Equity	**$280,213**	**$294,744**	**$303,844**	**$366,021**	**$395,250**	**$439,991**	**$462,274**	**$496,016**	**$507,755**	**$542,605**	**$573,425**	**$619,304**	**$366,021**	**$496,016**	**$619,304**

Source: Jefferies, Company Data

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META Cash Flow Statement

Meta - Cash Flow Statement

($ in Millions)

	F2025				F2026				F2027						
	Q1 25A	Q2 25A	Q3 25A	Q4 25A	Q1 26A	Q2 26E	Q3 26E	Q4 26E	Q1 27E	Q2 27E	Q3 27E	Q4 27E	F2025A	F2026E	F2027E
Net Income	$16,644	$18,337	$2,709	$22,768	$26,773	$14,812	$16,571	$18,140	$19,248	$21,712	$24,133	$26,861	$60,458	$76,296	$91,954
Depreciation	3,900	4,342	4,963	5,411	5,999	6,774	7,445	8,117	8,999	10,567	11,167	12,175	18,616	28,334	42,907
Amortization of Intangible Assets	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Stock-Based Compensation	4,147	4,834	5,555	5,890	6,032	5,801	5,406	7,068	7,238	6,961	6,487	8,482	20,426	24,307	29,168
Tax Benefit from Stock Options	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Excess Tax Benefit from Stock Options	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Deferred Taxes	(993)	(1,170)	19,868	1,033	123	0	0	0	0	0	0	0	18,738	123	0
(Gain) / Loss on Sale of PP&E	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Other / Charges	(231)	175	(945)	(552)	1,058	0	0	0	0	0	0	0	(1,553)	1,058	0
Funds From Operations	**$23,467**	**$26,518**	**$32,150**	**$34,550**	**$39,985**	**$27,387**	**$29,422**	**$33,324**	**$35,485**	**$39,240**	**$41,787**	**$47,517**	**$116,685**	**$130,117**	**$164,029**
(Inc.) Dec. in Accounts Receivable	2,804	(1,338)	(807)	(2,475)	2,128	(1,096)	(879)	(2,748)	2,795	(1,969)	(1,010)	(3,361)	(1,816)	(2,595)	(3,545)
(Inc.) Dec. in Prepaid Expenses and Other Assets	360	326	(1,033)	259	(2,424)	4,373	(216)	(750)	1,918	(748)	(170)	(1,067)	(88)	983	(67)
(Inc.) Dec. in Other Assets	(52)	(190)	33	(272)	(1,082)	5,866	(1,015)	(3,739)	7,485	(3,738)	(852)	(5,335)	(481)	31	(2,439)
Inc. (Dec.) in Accounts Payable	(1,034)	460	(63)	623	(937)	(201)	770	2,218	(703)	1,565	1,031	2,704	(14)	1,851	4,596
Inc. (Dec.) in Platform Partners Payables	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Inc. (Dec.) in Accrued Expenses and Other Liabilities	(2,231)	(1,107)	455	3,960	(271)	7,835	1,321	6,468	(8,772)	5,200	1,185	7,763	1,077	15,354	5,376
Inc. (Dec.) in Deferred Revenue & Deposits	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Inc. (Dec.) in Other Liabilities	712	892	(736)	(431)	(5,173)	(6,313)	453	2,216	(3,006)	1,783	406	2,660	437	(8,816)	1,843
Change in Net Working Capital	**$559**	**($957)**	**($2,151)**	**$1,664**	**($7,759)**	**$10,465**	**$435**	**$3,666**	**($283)**	**$2,093**	**$590**	**$3,365**	**($885)**	**$6,807**	**$5,764**
Cash Flow from Operations	**$24,026**	**$25,561**	**$29,999**	**$36,214**	**$32,226**	**$37,851**	**$29,856**	**$36,990**	**$35,202**	**$41,333**	**$42,377**	**$50,881**	**$115,800**	**$136,924**	**$169,793**
Purchases of Property & Equipment	(12,941)	(16,538)	(18,829)	(21,383)	(18,997)	(34,639)	(36,279)	(41,406)	(30,156)	(40,439)	(42,351)	(48,712)	(69,691)	(131,320)	(161,659)
Purchases of Marketable Securities	(11,763)	(7,746)	(2,840)	(14,580)	(32,978)	0	0	0	0	0	0	0	(36,929)	(32,978)	0
Maturities and Sales of Marketable Securities	4,784	14,273	4,704	3,113	19,176	0	0	0	0	0	0	0	26,874	19,176	0
Acquisitions, Net of Cash Acquired	(90)	(61)	(753)	(3,415)	(372)	0	0	0	0	0	0	0	(4,319)	(372)	0
Proceeds from Sales of PP&E	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Other	0	(15,886)	(4,130)	2,078	(507)	0	0	0	0	0	0	0	(17,938)	(507)	0
Net Cash Used in Investing Activities	**($20,010)**	**($25,958)**	**($21,848)**	**($34,187)**	**($33,678)**	**($34,639)**	**($36,279)**	**($41,406)**	**($30,156)**	**($40,439)**	**($42,351)**	**($48,712)**	**($102,003)**	**($146,001)**	**($161,659)**
Debt Issuance / (Repayment)	0	0	0	29,906	0	25,000	0	0	0	0	0	0	29,906	25,000	0
Proceeds from / (Repurchase of) Stock	(12,754)	(10,167)	(3,327)	0	0	0	0	0	0	0	0	0	(26,248)	0	0
Proceeds from Exercise of Stock Options	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Common Stock Cash Dividends	(1,329)	(1,327)	(1,330)	(1,338)	(1,346)	(1,286)	(1,287)	(1,284)	(1,283)	(1,288)	(1,289)	(1,285)	(5,324)	(5,203)	(5,144)
Principal Payments on Capital Lease Obligations	(751)	(474)	(545)	(754)	(843)	(908)	(951)	(1,085)	(983)	(1,083)	(1,134)	(1,305)	(2,524)	(3,786)	(4,506)
Other	(4,661)	(4,009)	(4,845)	(2,665)	(4,364)	0	0	0	0	0	0	0	(16,180)	(4,364)	0
Net Cash Provided by Financing Activities	**($19,495)**	**($15,977)**	**($10,047)**	**$25,149**	**($6,553)**	**$22,806**	**($2,238)**	**($2,369)**	**($2,267)**	**($2,371)**	**($2,423)**	**($2,590)**	**($20,370)**	**$11,647**	**($9,650)**
Effect of Exchange Rate Changes	112	131	9	(17)	7	0	0	0	0	0	0	0	235	7	0
Inc. (Dec.) in Cash and Cash Equivalents	**($15,367)**	**($16,243)**	**($1,887)**	**$27,159**	**($7,998)**	**$26,019**	**($8,660)**	**($6,785)**	**$2,779**	**($1,477)**	**($2,397)**	**($421)**	**($6,338)**	**$2,576**	**($1,516)**
Beginning Cash and Cash Equivalents	45,438	30,071	13,828	11,941	39,100	23,426	49,445	40,785	34,000	36,779	35,302	32,904	43,889	35,873	34,000
Ending Cash and Cash Equivalents	**$30,071**	**$13,828**	**$11,941**	**$39,100**	**$31,102**	**$49,445**	**$40,785**	**$34,000**	**$36,779**	**$35,302**	**$32,904**	**$32,484**	**$37,551**	**$34,000**	**$32,484**

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Source: Jefferies, Company Data

Jefferies

Company Description

Meta Platforms

Meta Platforms operates the world's largest social network. The company builds tools that enable users to connect and communicate with each other; enables developers to build social applications on Facebook or to integrate their Websites with Facebook; and offers products that enable advertisers to engage with users. The company was founded in 2004 and is headquartered in Menlo Park, California.

Company Valuation/Risks

Meta Platforms

Our price target of $825 is DCF-derived and implies 23x 2027E EPS. Risks include declines in user engagement, advertiser churn, and regulatory risk.

For Important Disclosure information on companies recommended in this report, please visit our website at https://javatar.bluematrix.com/sellside/Disclosures.action or call 212.284.2300.

Analyst Certification:

I, Brent Thill, certify that all of the views expressed in this research report accurately reflect my personal views about the subject security(ies) and subject company(ies). I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed in this research report.

I, James Heaney, certify that all of the views expressed in this research report accurately reflect my personal views about the subject security(ies) and subject company(ies). I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed in this research report.

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(Article 3(1)e and Article 7 of MAR)

Recommendation Published	July 20, 2026 16:11 P.M.
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Company Specific Disclosures

James Heaney has a long position in Facebook.

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- Alphabet, Inc. (GOOGL: $346.77, BUY)
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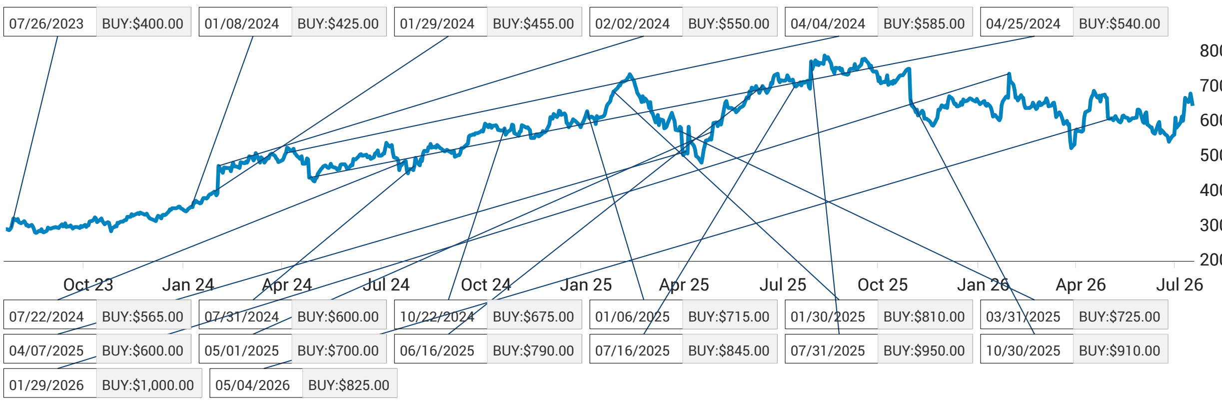
- EssilorLuxottica (EL FP: €166.70, BUY)
- Meta Platforms, Inc. (META: $646.01, BUY)
- Snap, Inc. (SNAP: $4.53, BUY)
- Spotify Technology SA (SPOT: $478.14, BUY)

Rating and Price Target History for: Meta Platforms, Inc. (META) as of 07-17-2026



James Heaney has a long position in Facebook.

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			IB Serv./Past12 Mos.		JIL Mkt Serv./Past12 Mos.	
	Count	Percent	Count	Percent	Count	Percent
BUY	2238	62.64%	387	17.29%	110	4.92%
HOLD	1174	32.86%	94	8.01%	15	1.28%
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